

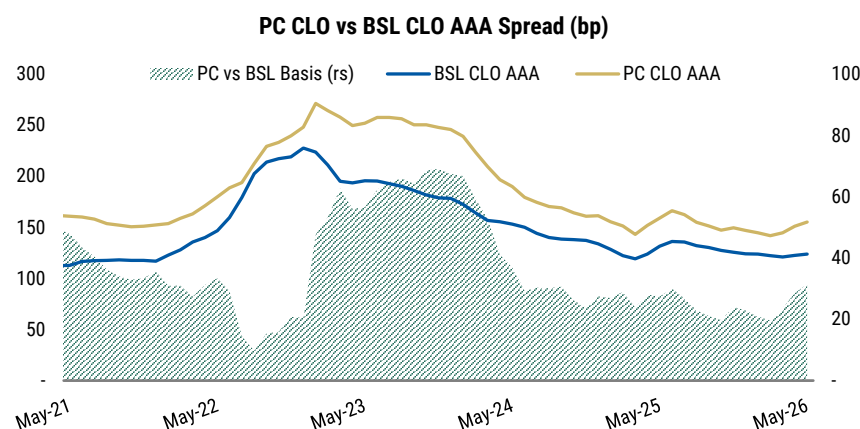
June 8, 2026 09:38 PM GMT

Global CLOs

CLO Tracker June 2026 – What We Are Hearing From Investors

Key Takeaways

- Rising dispersion underscores the importance of manager and deal level selection. Investors favor managers with established track records, demonstrated ability to navigate credit stress, and greater control. Deals with low software exposure and high diversity are viewed favorably.
- On PC CLOs, investors remain highly selective. While required spread premiums varied considerably across investors, many cited a pickup of at least 40bp in PC AAAs as necessary to justify incremental allocation. Several accounts expressed caution against upper-middle-market deals, noting the covenant and documentation erosion seen in the space.
- On USD vs EUR, investor preference is firmly tilted toward the US from the fundamental and structural standpoints, given the greater vulnerability of European economies to energy shock. That said, investors shared our view that demand tailwinds will keep spreads tight at the senior tranches. Relative value considerations are increasingly drawing investors toward European senior tranches.
- May tracks ~\$17bn of new issuance, rebounding from April's lows (\$6bn). Refi/reset activity was even more notable, with the strongest month YTD at a combined \$39bn, as May's spread tightening gave managers a timely window to reset transactions that had likely been deferred during April's volatility.

Exhibit 1: PC vs BSL AAAs widened to 32bp over the 3 months ending in May

Source: PitchBook LCD, Morgan Stanley Research

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Client Feedback from our Outlook Marketing

We have been on the road meeting with a broad group of CLO investors across the Atlantic. Based on our client conversations, investors are overall more constructive towards US vs Europe on the macro and fundamental backdrop. However, with tight valuation, selectivity remains key. Manager quality, deal structure, and relative value considerations are becoming increasingly important as market participants focus more closely on downside risks and long-term differentiation.

Manager Selection Remains Paramount

Across nearly all conversations, manager selection emerged as one of the most important considerations for CLO investing. With credit spreads remaining relatively tight across much of the capital stack and AI-disruption concerns driving greater dispersion in collateral performance, investors increasingly focused on manager specific alpha over broad market beta. Investors in general agree with our view that the cycle is characterized less by directional market moves and more by dispersion across portfolios, underscoring the importance of underwriting discipline, portfolio construction, and trading execution.

Investor preferences generally skew toward established managers with long track records and demonstrated performance through multiple credit cycles. This preference appears particularly strong in Europe, where many investors see limited compensation for taking emerging-manager risk given what they see as thin spread pickup for newer managers. Managers with lower software exposure and a well-thought-out framework for assessing AI risk are generally viewed more favorably. Among equity investors, there is a preference for managers with greater control, especially in private credit deals.

Manager consolidation remains topical. While new managers have sprung up at a fast pace, we have also seen a number of acquisitions among managers. Managers compete to grow scale organically or inorganically to broaden capabilities, improve efficiency and deepen relationships with investors and financing providers. Larger managers typically have greater access to warehouse financing, ability to attract large anchor investors, and more dedicated workout and restructuring resources.

Increasingly, investors also view AI and data infrastructure as important differentiators. As AI disruption becomes a more prominent investment consideration, larger platforms with greater resources and budgets are better positioned to develop AI capacity – leveraging AI tools in their credit selection and portfolio management process.

Private Credit CLOs – Not All Deals Are Created Equal

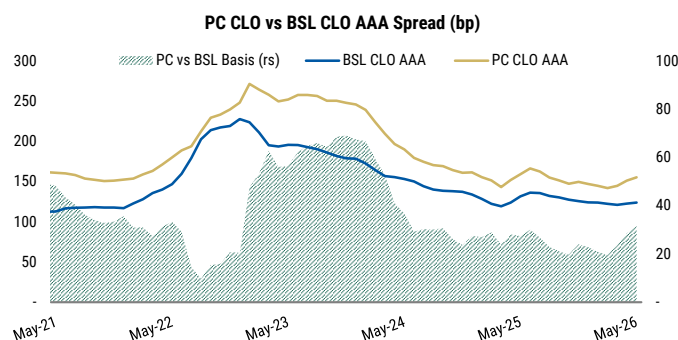
Private credit CLOs have become a key topic of discussion across our investor meetings, although sentiment has turned more cautious amid a growing number of negative headlines surrounding direct lending, BDCs, and software related risk. Despite the recent spread widening, many investors continued to view current spread premiums vs BSL CLOs as inadequately compensated for the additional complexity, illiquidity, and valuation uncertainty inherent in private credit assets.

As highlighted in our Mid-Year Outlook ([A Balancing Act](#)), we expect defaults to ramp up to 5.5% in BSL and 8% in PC through mid 2027, as AI-exposed names are forced to confront their near-term maturity walls. We expect the basis between PC and BSL deals to widen, reflecting a more balanced supply-demand backdrop, and incrementally weaker fundamentals within PC. In particular, we view 40bp spread pickup vs BSL as an interesting entry point for PC AAAs.

Investors we spoke with broadly agree with our views. While they generally do not expect the PC vs BSL AAA spread premium to revisit 60-70bp levels observed a few years ago, given the expansion of the investor base that has structurally compressed the basis, they do view current spread levels too tight to generate appealing risk-reward for the asset class. **While required spread premiums varied considerably across investors, many clients shared our view, citing a pickup of at least 40bp as necessary to justify incremental allocation, with some identifying ~150bp on PC AAAs as a practical floor for meaningful participation.** The view on spread pickup was similar for both US and EU PC CLOs.

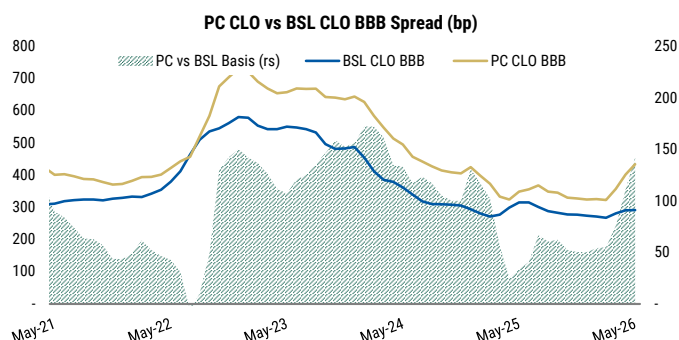
That said, investors acknowledged that private credit is too diverse to be painted in a broad brushstroke. There is wide differentiation across deals. **Some investors highlighted the performance should be assessed across multiple dimensions, e.g., by financing- vs arbitrage-driven deals, and by underlying borrower size.** Financing transactions, particularly those sponsored by managers with greater control over assets and workout processes, were preferred. Borrower EBITDA size is another important consideration. Several investors expressed greater caution towards upper middle market (MM) segments where documentation standards and covenant protections have gradually weakened. We noted the growing prevalence of cov-lite deals in upper MM segments amid intense competition with the BSL market in [Private Credit Tracker 4Q25 – As the Credit Cycle Turns](#). By contrast, lower MM deals were viewed more constructively, benefitting from stronger covenant protections, smaller lender groups, and greater influence over restricting outcomes, all of which should support higher recovery rates.

Exhibit 2: PC vs BSL AAAs widened to 32bp over the 3 months ending in May



Source: PitchBook LCD, Morgan Stanley Research

Exhibit 3: PC vs BSL BBBs widened to levels last seen two years ago



Source: PitchBook LCD, Morgan Stanley Research

Investors Prefer US Risk, but See Better Value in Europe

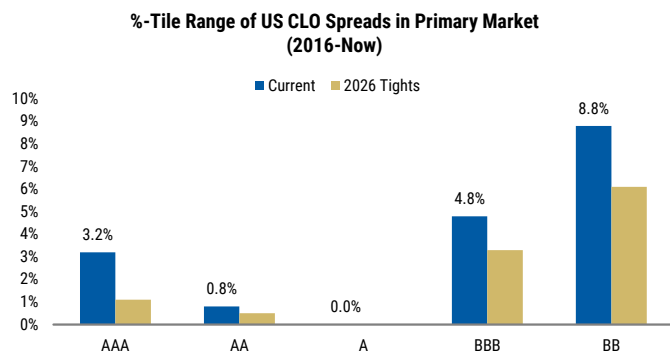
Regional preferences varied across investors. **Most investors still favor US over Europe from a fundamental perspective.** While acknowledging the greater software exposure in

the US market, investors appeared more concerned about the weaker macro in Europe. The higher exposure of Europe to the energy shock ranks high in the factors, and investors also cited slower growth prospects and longer-term structural challenges as reasons for maintaining an overall preference for US over Europe.

Beyond macro considerations, investors highlighted several structural advantages of the US CLO market. The US benefits from greater market depth, a broader manager universe, and a significantly more diversified issuer base. This diversity is particularly valuable in the current environment, where aggregate credit fundamentals remain healthy, but performance dispersion across sectors and issuers continues to widen.

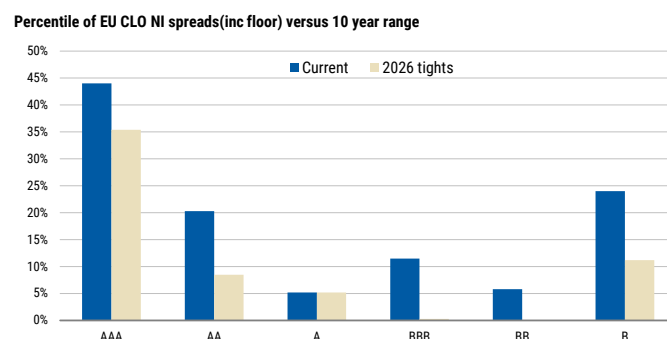
That said, investors also noted that European CLOs currently screen more attractive on a relative value basis, particularly at the top of the stack. Several investors preferred European AAA/AA tranches to US equivalents, also in expectation of favorable technicals with a potential demand boost from insurers under the new Solvency 2 rules. However, enthusiasm generally diminished further down the capital structure, where investors thought valuation advantages were less compelling relative to the underlying macro and credit risks and more overlap within CLO portfolios. In short, while the fundamental preference remains firmly tilted toward the US, relative value considerations are increasingly drawing investors toward Europe senior tranches.

Exhibit 4: In US NI AAAs screen cheaper to AAs and As



Source: Morgan Stanley Research, Bloomberg

Exhibit 5: In Europe, NI AAAs screen relatively cheaper, tracking ~45th %-tile



Source: Morgan Stanley Research

Market Performance, Issuance, & Relative Value

Cross-Asset Spreads Monitors

Exhibit 6: US Cross-Asset Spreads Monitor: 12-Month Ranges and Month-end Levels

	SPREADS						PRICES					
	Current	1Y Tights	1Y Wides	▲ MTD	▲ YTD	%-tile, 12m	Current	1Y Highs	1Y Lows	▲ MTD	▲ YTD	%-tile, 12m
US CLO AAA	123	123	136	-4.50	-5.62	4.6% ■	100.21	100.35	99.97	0.05	-0.03	30.5% ■
US CLO AA	164	162	182	0.49	-6.68	5.0% ■	100.15	100.33	99.79	-0.07	0.03	83.3% ■
US CLO A	196	195	218	-1.65	-4.84	6.5% ■	100.19	100.47	99.78	-0.02	-0.16	14.6% ■
US CLO BBB	326	318	352	-3.51	0.38	39.3% ■	99.80	100.85	98.60	0.10	-0.42	23.5% ■
US CLO BB	820	684	893	-21.42	87.16	77.6% ■	93.72	98.22	90.57	0.65	-2.76	23.1% ■
US Loans	428	387	458	0.55	33.49	80.6% ■	95.63	97.77	94.57	-0.05	-1.45	18.9% ■
BB Loans	250	245	268	-0.08	-5.64	7.3% ■	99.51	99.88	98.85	-0.04	0.06	61.7% ■
B Loans	430	387	476	-2.22	37.95	76.8% ■	96.43	98.43	94.76	0.06	-1.63	22.7% ■
IG Cash Index OAS	71	71	93	-6.81	-6.10	1.5% ■	94.20	96.46	92.15	0.40	-0.99	35.9% ■
IG Cash Index OAS BBB	90	90	114	-7.98	-8.41	0.0% ■	94.83	97.05	92.43	0.39	-0.95	36.6% ■
HY Cash Index OAS	256	248	338	-15.04	-11.87	2.7% ■	97.49	98.53	95.56	-0.02	-0.56	45.9% ■
HY Cash Index OAS BB	150	148	212	-11.33	-13.34	1.1% ■	98.84	100.35	97.24	0.01	-1.12	30.5% ■
HY Cash Index OAS B	272	250	367	-20.09	4.34	25.8% ■	99.53	100.68	97.22	0.23	-0.81	49.4% ■

Source: Morgan Stanley Research, Bloomberg, Markit, PitchBook | LCD. Note: Spreads are in basis points

Exhibit 7: EU Cross-Asset Spreads Monitor: 12-Month Ranges and Month-end Levels

	SPREADS						PRICES					
	Current	1Y Tights	1Y Wides	▲ MTD	▲ YTD	%-tile, 12m	Current	1Y Highs	1Y Lows	▲ MTD	▲ YTD	%-tile, 12m
EU CLO AAA	102	98	113	-1.00	1.50	25.4% ■	100.0	100.0	100.0	0.00	0.00	9.8% ■
EU CLO AA	165	163	200	-10.00	-12.50	1.9% ■	100.0	100.0	99.7	0.20	0.00	54.9% ■
EU CLO A	215	198	253	-10.00	-10.00	25.4% ■	100.0	100.0	99.3	0.50	0.00	76.4% ■
EU CLO BBB	330	298	393	-20.00	-2.50	45.0% ■	99.5	100.0	98.5	0.50	-0.40	25.4% ■
EU CLO BB	643	565	735	-25.00	37.50	76.4% ■	96.8	99.7	94.0	1.75	-2.65	25.4% ■
EU CLO B	1,058	825	1,180	-15.00	112.50	80.3% ■	93.5	98.0	90.5	1.50	-4.25	23.5% ■
EU Loans	451	427	502	-19.41	2.06	49.0% ■	96.6	98.2	94.8	0.63	-0.40	29.4% ■
BB Loans	267	266	361	-4.31	-84.96	1.9% ■	100.3	100.3	96.9	0.15	2.75	98.0% ■
B Loans	428	415	477	-15.58	13.86	49.0% ■	97.6	98.7	95.9	0.54	-0.86	31.3% ■
IG Cash Index OAS	78	72	96	-2.79	-0.31	33.3% ■	97.5	98.6	95.7	0.55	-0.07	25.4% ■
IG Cash Index OAS BBB	90	83	110	-2.87	0.66	35.2% ■	98.0	99.1	96.3	0.56	-0.15	25.4% ■
HY Cash Index OAS	259	249	319	-21.78	-3.51	11.7% ■	98.0	99.5	96.0	0.40	-0.66	23.5% ■
HY Cash Index OAS BB	162	159	212	-12.59	-13.16	1.9% ■	100.4	101.9	98.7	0.37	-0.53	21.5% ■
HY Cash Index OAS B	340	290	431	-34.90	24.67	52.9% ■	98.3	100.9	95.9	0.22	-1.59	23.5% ■

Source: Morgan Stanley Research, Bloomberg, Markit, PitchBook | LCD. Note: Spreads are in basis points

Total Return: CLOs and Comparable Asset Classes

Exhibit 8: Total Return Tracker: US CLOs and Comparable Asset Classes

	Total Return (US)			
	May 2026	Apr 2026	2026 YTD	2025 YE
US CLO AAA	0.46%	0.57%	2.04%	5.42%
US CLO AA	0.37%	0.76%	2.26%	5.94%
US CLO A	0.45%	0.54%	2.20%	6.31%
US CLO BBB	0.68%	1.68%	2.46%	6.42%
US CLO BB	1.66%	2.94%	1.82%	8.94%
US Loans	0.51%	1.29%	1.24%	5.90%
BB Loans	0.48%	1.09%	2.29%	6.26%
B Loans	0.59%	1.39%	1.07%	6.18%
IG Corp	0.76%	0.45%	0.67%	7.77%
IG Corp BBB	0.82%	0.67%	0.91%	8.20%
HY Corp	0.49%	1.69%	1.68%	8.62%
HY Corp BB	0.50%	1.45%	1.67%	9.02%
HY Corp B	0.74%	1.80%	1.90%	8.44%
HY Corp CCC	0.21%	2.88%	1.80%	8.27%

Source: Morgan Stanley Research, Bloomberg, Markit, PitchBook | LCD

Exhibit 9: Total Return Tracker: EU CLOs and Comparable Asset Classes

	Total Return (EU)			
	May 2026	Apr 2026	2026 YTD	2025 YE
EU CLO AAA	0.27%	0.32%	1.30%	3.20%
EU CLO AA	0.53%	0.50%	1.62%	4.20%
EU CLO A	0.87%	0.64%	1.82%	4.73%
EU CLO BBB	0.98%	1.01%	1.86%	6.63%
EU CLO BB	2.49%	1.29%	0.75%	9.50%
EU CLO B	2.58%	2.66%	0.57%	13.80%
EU Loans	0.73%	1.85%	1.52%	4.07%
BB Loans	0.52%	1.17%	2.48%	2.81%
B Loans	0.81%	1.90%	1.42%	4.69%
IG Corp	0.94%	0.94%	0.89%	3.03%
IG Corp BBB	0.96%	0.98%	0.90%	3.42%
HY Corp	1.02%	1.82%	1.27%	5.24%
HY Corp BB	1.06%	1.50%	1.23%	5.24%
HY Corp B	0.84%	2.51%	1.27%	5.82%
HY Corp CCC	1.13%	2.72%	2.79%	-2.15%

Source: Morgan Stanley Research, Bloomberg, Markit, PitchBook | LCD

US and European CLO Portfolio Sharpe Ratios

Exhibit 10: LTM Sharpe Ratios* of Loan Index and CLO Portfolio Total Returns

		US Deals Trailing 12 Month Sharpe Ratio												
		May-26	Apr-26	Mar-26	Feb-26	Jan-26	Dec-25	Nov-25	Oct-25	Sep-25	Aug-25	Jul-25	Jun-25	May-25
CLOs	25th Pct	2.29	2.46	1.90	1.55	2.23	2.88	2.85	3.09	3.41	3.53	3.66	3.56	3.35
	Average	2.86	2.91	2.32	1.93	2.77	3.51	3.43	3.62	3.91	4.02	4.19	4.09	3.83
	Median	2.78	2.89	2.29	1.91	2.77	3.45	3.42	3.63	3.98	4.11	4.33	4.24	3.99
	75th Pct	3.32	3.31	2.68	2.26	3.28	4.21	4.11	4.31	4.63	4.79	4.99	4.93	4.68
Loan Index	BB	6.83	5.40	3.34	3.16	3.50	3.54	3.59	3.70	4.05	4.08	4.26	4.15	3.99
	B	2.61	2.57	1.54	1.56	2.37	2.41	2.45	2.54	3.00	3.11	3.11	2.93	2.80
	CCC	(0.33)	0.04	(0.69)	(0.45)	0.21	0.41	0.62	0.64	0.81	1.09	1.07	0.72	0.65
	LL 100	2.83	2.76	1.87	1.86	2.95	2.98	2.95	3.03	3.33	3.36	3.28	3.13	3.09

		EU Deals Trailing 12 Month Sharpe Ratio												
		May-26	Apr-26	Mar-26	Feb-26	Jan-26	Dec-25	Nov-25	Oct-25	Sep-25	Aug-25	Jul-25	Jun-25	May-25
CLOs	25th Pct	1.34	1.48	0.81	0.73	1.28	1.66	1.71	1.80	2.35	2.48	2.76	2.86	2.84
	Average	1.67	1.79	1.16	1.12	1.73	2.23	2.26	2.33	2.86	2.96	3.24	3.36	3.32
	Median	1.67	1.81	1.17	1.14	1.62	2.20	2.22	2.29	2.90	3.00	3.31	3.45	3.41
	75th Pct	2.03	2.13	1.51	1.49	2.18	2.72	2.78	2.83	3.46	3.52	3.90	4.03	3.94
Loan Index	ELLI BB	2.86	2.77	1.25	1.10	1.05	1.37	1.62	1.92	2.43	2.44	2.54	2.62	2.53
	ELLI B	1.95	1.95	0.80	0.99	1.77	1.92	1.87	1.93	2.39	2.53	2.55	2.73	2.71

Source: Morgan Stanley Research, Intex, PitchBook | LCD. *Note: Includes only CLO deals at least one year post-closing and still within their reinvestment period. Performance metric uses R/σ (return divided by volatility), without subtracting the risk-free rate.

CLO Creation Volumes

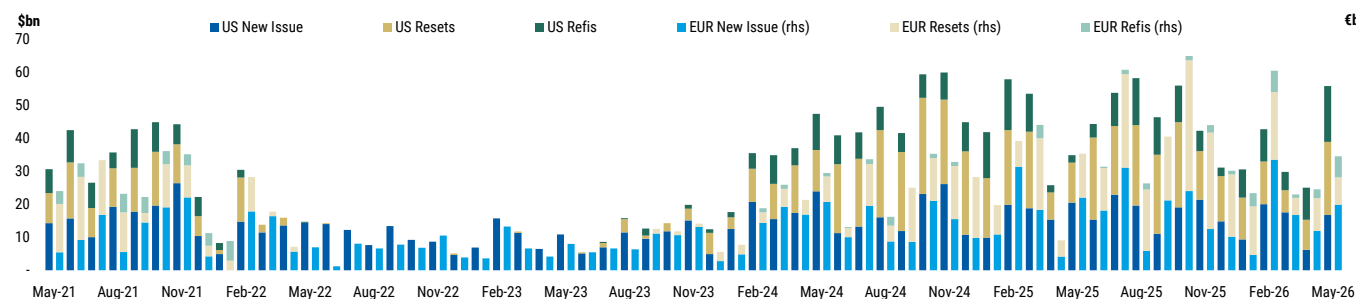
In the US, 35 new issue deals, 43 refis, and 44 resets priced, totaling \$16.8bn, \$16.9bn, and \$22.1bn, respectively, over the course of the month.

In Europe, 14 new issue deals, 5 refis, and 5 resets priced, totaling €5.7bn, €1.8bn, and €2.4bn, respectively, over the course of the month.

In the US, 2026 YTD has seen 148 new issue deals, 131 refis, and 132 resets, totaling \$70.0bn, \$50.6bn, and \$63.5bn, respectively. New issue volumes are down -17.2% year over year (vs. \$84.5bn through 2025).

In Europe, 2026 YTD has seen 59 new issue deals, 18 refis, and 37 resets, totaling €24.8bn, €5.9bn, and €16.7bn, respectively. New issue volumes are down -0.1% year over year (vs. €24.8bn through 2025).

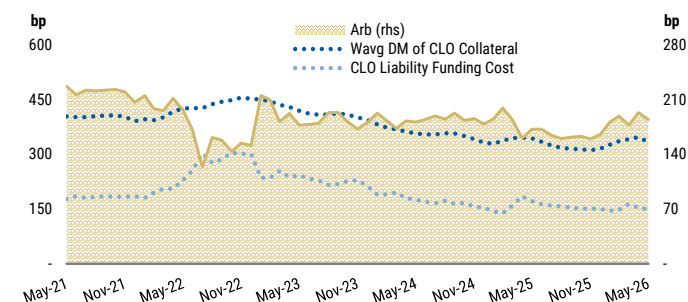
Exhibit 11: Monthly CLO Creation (New Issue and Refis/Resets)



Source: Morgan Stanley Research, PitchBook | LCD

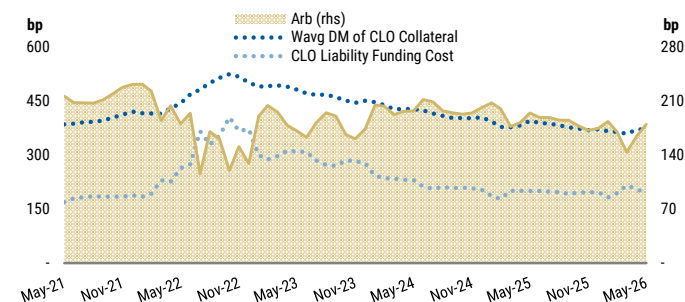
New Issue CLO Arb

Exhibit 12: New Issue US CLO Arb



Source: Morgan Stanley Research, PitchBook | LCD, The Yield Book. Note: We assume a ramping period of four months. In the first two months, we assume a weighted average DM of collateral consisting of 80% new issue loans and 20% loans from the secondary market. Then, we assume an even 50/50 mix of new issue and secondary loans. We then take the average of the above calculated DMs from each half to calculate the collateral DM.

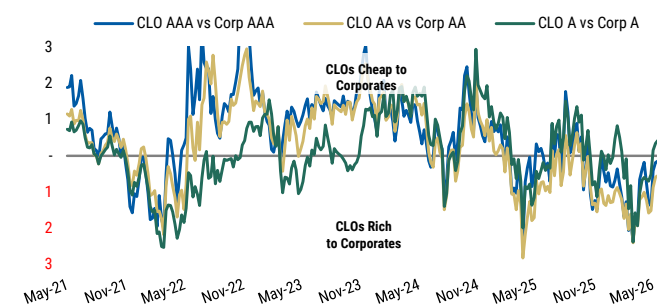
Exhibit 13: New Issue EU CLO Arb



Source: Morgan Stanley Research, PitchBook | LCD. Note: We assume a ramping period of four months. In the first two months, we assume a weighted average DM of collateral consisting of 80% new issue loans and 20% loans from the secondary market. Then, we assume an even 50/50 mix of new issue and secondary loans. We then take the average of the above calculated DMs from each half to calculate the collateral DM.

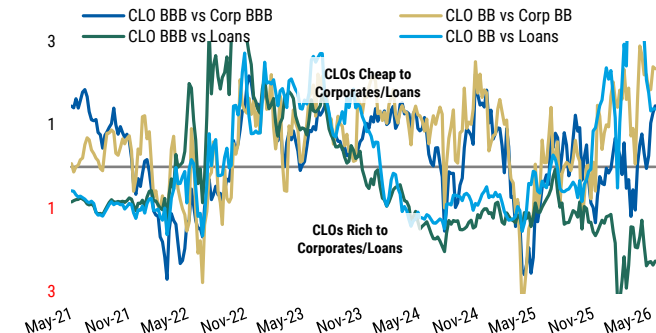
Cross-Sector Relative Value: CLOs vs. Corporates & Loans

Exhibit 14: US CLO vs. IG Corp 24-month Z-Score



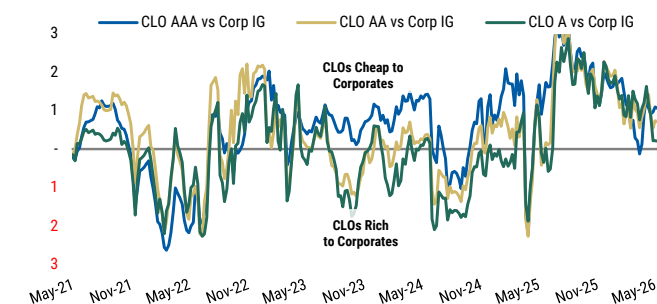
Source: Morgan Stanley Research, Bloomberg, Markit

Exhibit 15: US CLO vs. HY Corp & Loans 24-month Z-Score



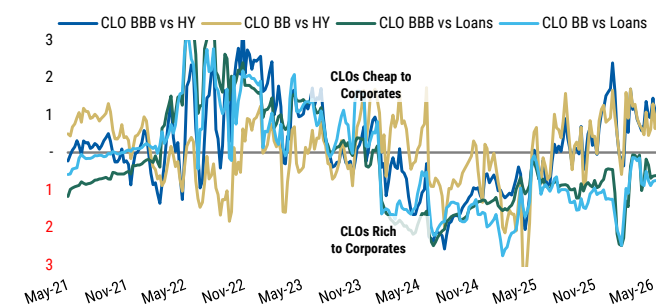
Source: Morgan Stanley Research, Bloomberg, Markit, PitchBook | LCD

Exhibit 16: EU CLO vs. IG Corp 24-month Z-Score



Source: Morgan Stanley Research, Markit, PitchBook | LCD

Exhibit 17: EU CLO vs. HY Corp & Loans 24-month Z-Score



Source: Morgan Stanley Research, Markit, PitchBook | LCD

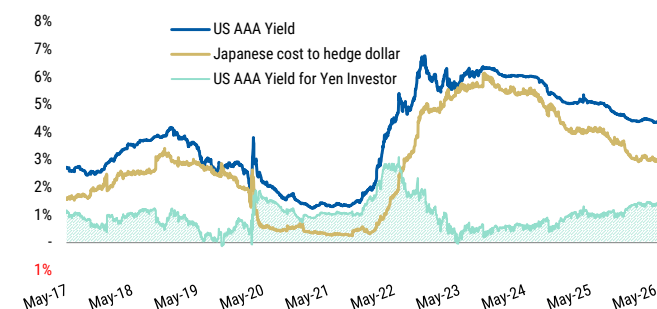
FX Hedging

We think it is useful to look at CLO AAA yields on both a hedged and unhedged basis.

We use annualized 3-month FX forwards to approximate hedging costs for yen investors. The Bloomberg tickers are JPY3M and EURJPY3M.

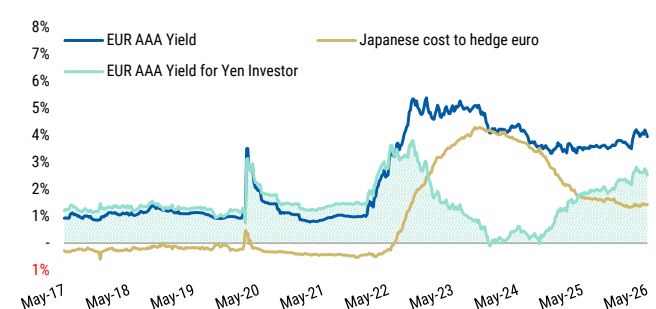
Note: We previously used the cross-currency basis for this analysis, but we now believe FX forwards are a more accurate encapsulation of hedging costs for overseas investors.

Exhibit 18: FX-hedged and unhedged generic US CLO yields* for JPY-funded investors



Source: Morgan Stanley Research, Bloomberg, Palmer Square, Markit. *Note: Yields shown above are for the secondary market. US AAA Yield is from Palmer Square until 9/29/23, after which daily percent changes come from Markit.

Exhibit 19: FX-hedged and unhedged generic European CLO yields* for JPY-funded investors



Source: Morgan Stanley Research, Bloomberg. *Note: European CLO AAA yields are calculated by adding primary spreads and the 5year swap (3m Euribor)

Liquidity Metrics, Par Coverage, & Collateral Quality Tests

Secondary Trading Volumes by TRACE and on BWICs

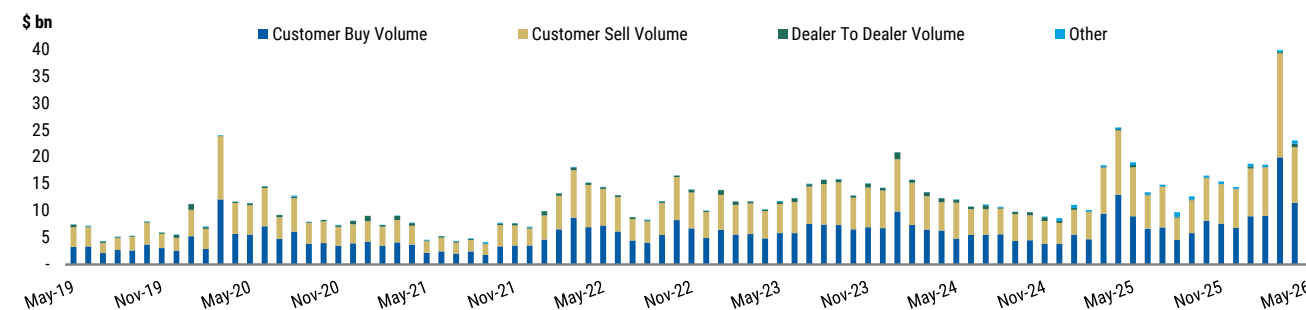
We report secondary CLO/CDO trading volumes using FINRA Trade Reporting and Compliance Engine® (TRACE®) and public BWICs.

TRACE IG volumes increased by 2.2% MoM, to \$23.5bn (against a trailing 24-month average of \$15.8bn).

TRACE BIG volumes decreased by -2.1% MoM, to \$5.0bn (against a trailing 24-month average of \$4.1bn).

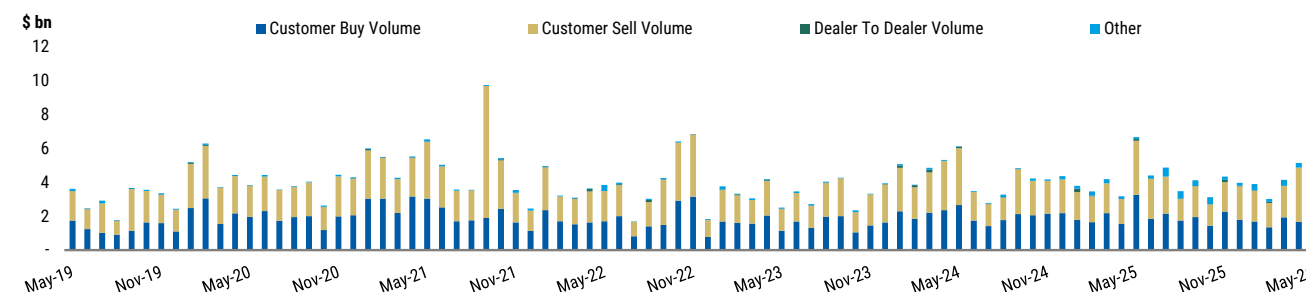
US BWIC volumes increased by 20.5% MoM, to \$5.9bn (against a trailing 24-month average of \$5.2bn).

Exhibit 20: Monthly IG-rated CLO/CDO Trading Volume - TRACE



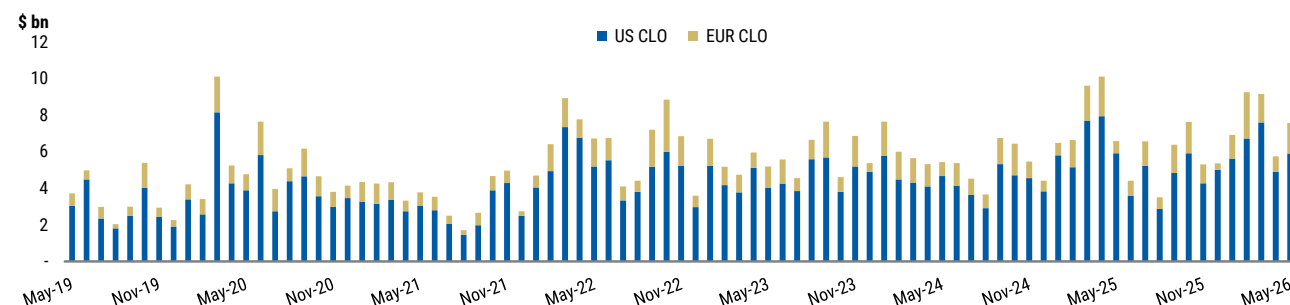
Source: Morgan Stanley Research, FINRA, TRACE

Exhibit 21: Monthly BIG-rated CLO/CDO Trading Volume - TRACE



Source: Morgan Stanley Research, FINRA, TRACE

Exhibit 22: Monthly CLO BWIC Volume



Source: Morgan Stanley Research, FINRA, TRACE

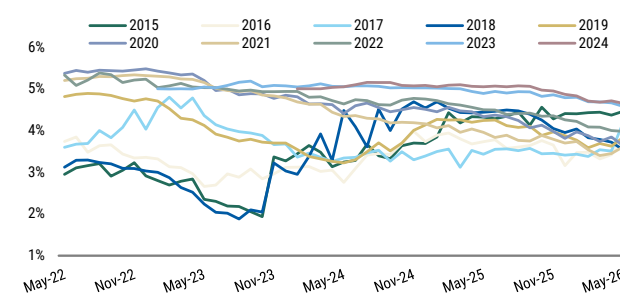
Status of CLO Credit Enhancement and Coverage Tests

Exhibit 23: Initial AAA Par Sub by Issuance Vintage

Vintage	25th pct	50th pct	75th pct
2013	36.6%	37.8%	39.1%
2014	36.2%	37.4%	38.5%
2015	35.9%	36.7%	38.2%
2016	35.9%	36.8%	38.1%
2017	36.0%	36.8%	38.3%
2018	36.0%	37.0%	39.4%
2019	36.0%	36.8%	39.0%
2020	36.0%	38.0%	40.0%
2021	36.0%	37.2%	38.5%
2022	36.0%	37.1%	38.5%
2023	36.2%	38.0%	39.0%

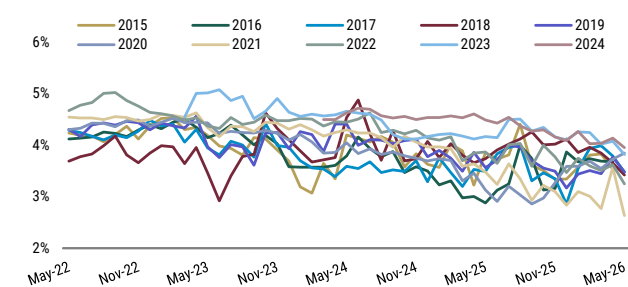
Source: Morgan Stanley Research, Intex

Exhibit 24: Median US CLO Junior OC Cushions



Source: Morgan Stanley Research, Intex

Exhibit 25: Median European CLO Junior OC Cushions



Source: Morgan Stanley Research, Intex

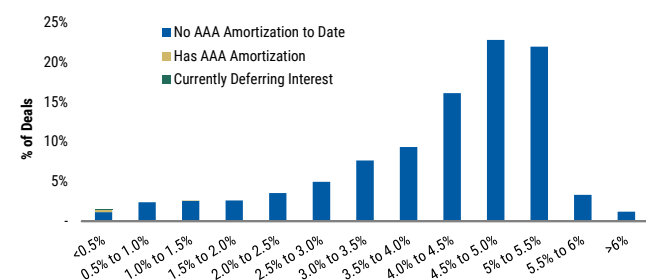
Exhibit 26: Median Jr. OC Cushions by Issuance Vintage

	Vintage	US CLOs		European CLOs	
		May-26	May-25	May-26	May-25
Median Junior OC Cushion	2015	4.5%	4.3%	-	3.9%
	2016	3.8%	3.7%	-	2.9%
	2017	4.2%	3.4%	3.5%	3.5%
	2018	3.5%	4.4%	3.4%	3.7%
	2019	3.8%	4.2%	3.5%	3.6%
	2020	3.6%	4.3%	3.9%	3.1%
	2021	3.6%	4.0%	2.6%	3.5%
	2022	4.0%	4.5%	3.3%	3.9%
	2023	4.6%	4.9%	3.8%	4.2%
	2024	4.7%	5.1%	4.0%	4.5%

Source: Morgan Stanley Research, Intex

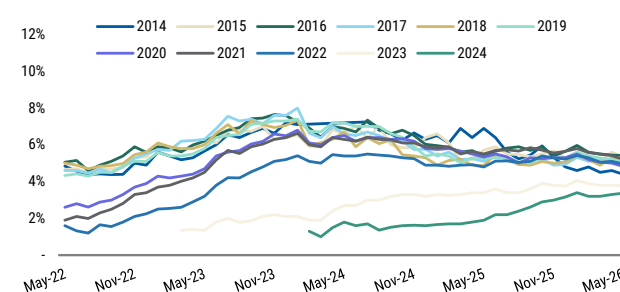
CCC Assets in CLO Portfolios and Interest Diversion Tests

Exhibit 27: OC Test Failures and Deferred Interest in April 2026



Source: Morgan Stanley Research, Intex

Exhibit 28: Median US CLO 2.0 CCC Assets by Vintage



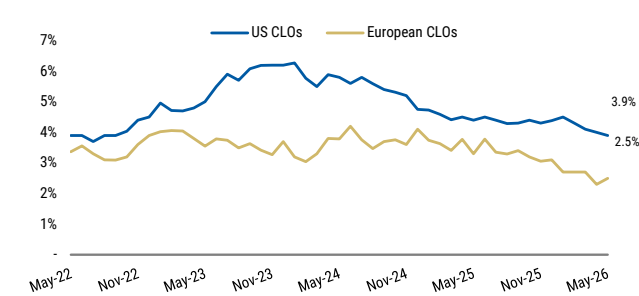
Source: Morgan Stanley Research, Intex

Exhibit 29: Vintage Median %CCC in CLO Portfolios

	Vintage	US CLOs		European CLOs	
		May-26	May-25	May-26	May-25
Median CCC Assets	2015	5.3%	5.7%	-	6.3%
	2016	5.4%	5.4%	-	6.4%
	2017	4.8%	5.1%	3.3%	4.6%
	2018	5.3%	4.9%	3.5%	3.5%
	2019	5.1%	5.2%	3.8%	4.4%
	2020	4.8%	5.3%	3.2%	4.5%
	2021	5.2%	5.5%	4.5%	5.4%
	2022	5.0%	4.8%	4.9%	3.8%
	2023	3.8%	3.4%	2.3%	3.0%
	2024	3.4%	1.9%	2.0%	1.8%

Source: Morgan Stanley Research, Intex

Exhibit 30: Median CCC Assets in CLO Portfolios



Source: Morgan Stanley Research, Intex

CLO Equity Performance

Quarterly Equity Distributions by Vintage Quarter

Exhibit 31: Median US CLO Quarterly Equity Distributions by Vintage Quarter

Payment Quarter	Vintage Quarter (by Closing Date)																				
	2020-Q2	2020-Q3	2020-Q4	2021-Q1	2021-Q2	2021-Q3	2021-Q4	2022-Q1	2022-Q2	2022-Q3	2022-Q4	2023-Q1	2023-Q2	2023-Q3	2023-Q4	2024-Q1	2024-Q2	2024-Q3	2024-Q4	2025-Q1	2025-Q2
2021-Q2	9.6%																				
2021-Q3	4.3%	10.9%																			
2021-Q4	4.3%	4.7%	3.8%																		
2022-Q1	4.3%	4.3%	3.4%	3.3%																	
2022-Q2	4.4%	4.4%	4.0%	4.1%	4.9%																
2022-Q3	3.6%	3.6%	3.4%	3.4%	3.5%	3.3%															
2022-Q4	2.9%	2.8%	2.6%	2.7%	2.8%	2.7%	2.6%														
2023-Q1	2.7%	2.7%	2.5%	2.6%	2.8%	2.8%	2.6%														
2023-Q2	4.6%	4.8%	4.4%	4.2%	4.6%	4.5%	4.5%	4.6%	4.3%												
2023-Q3	4.7%	4.8%	4.4%	4.4%	4.5%	4.4%	4.5%	4.5%	4.6%	4.1%											
2023-Q4	4.7%	4.7%	4.4%	4.5%	4.4%	4.4%	4.5%	4.8%	4.7%	3.7%	3.7%										
2024-Q1	4.4%	4.4%	3.9%	3.9%	4.1%	3.9%	4.0%	4.2%	4.1%	3.3%	2.6%	1.5%									
2024-Q2	5.2%	4.9%	5.0%	4.7%	5.0%	4.9%	5.0%	5.2%	5.3%	4.2%	4.0%	3.9%	3.6%								
2024-Q3	4.5%	4.9%	4.2%	4.4%	4.3%	4.2%	4.3%	4.7%	4.5%	4.4%	3.5%	3.7%	3.3%	3.3%							
2024-Q4	4.3%	4.2%	4.1%	4.1%	4.2%	3.9%	4.1%	4.3%	4.3%	4.5%	5.8%	3.2%	3.1%	3.2%	3.3%						
2025-Q1	4.0%	4.1%	3.4%	3.5%	3.9%	3.5%	3.5%	3.7%	4.1%	4.3%	3.9%	3.7%	3.2%	2.8%	3.1%	2.6%					
2025-Q2	3.7%	3.3%	3.5%	3.5%	3.5%	3.5%	3.4%	3.8%	3.7%	4.2%	4.2%	3.7%	2.8%	2.4%	2.9%	3.1%	3.8%				
2025-Q3	3.0%	2.9%	2.9%	2.8%	3.0%	3.1%	3.1%	2.9%	3.0%	3.6%	3.5%	3.5%	3.6%	2.6%	2.4%	2.9%	3.1%	2.9%			
2025-Q4	2.8%	2.6%	2.7%	2.9%	2.9%	2.8%	3.0%	3.0%	2.9%	3.8%	3.6%	3.6%	3.4%	3.0%	2.5%	2.9%	3.2%	3.5%	3.4%		
2026-Q1	2.8%	2.5%	2.6%	2.5%	2.9%	2.7%	2.8%	2.8%	3.0%	3.1%	3.5%	3.2%	3.1%	3.7%	2.7%	2.4%	2.8%	3.1%	3.2%	3.4%	
2026-Q2	2.3%	2.9%	2.7%	2.2%	2.6%	2.5%	2.7%	2.5%	2.9%	3.2%	3.2%	2.9%	3.0%	3.2%	3.3%	2.2%	2.6%	3.1%	3.2%	3.5%	3.8%

Source: Morgan Stanley Research, Intex

Exhibit 32: Median EU CLO Quarterly Equity Distributions by Vintage Quarter

Payment Quarter	Vintage Quarter (by Closing Date)																					
	2020-Q2	2020-Q3	2020-Q4	2021-Q1	2021-Q2	2021-Q3	2021-Q4	2022-Q1	2022-Q2	2022-Q3	2022-Q4	2023-Q1	2023-Q2	2023-Q3	2023-Q4	2024-Q1	2024-Q2	2024-Q3	2024-Q4	2025-Q1	2025-Q2	
2021-Q2	4.1%																					
2021-Q3	3.5%	1.8%																				
2021-Q4	4.1%	8.3%	3.8%																			
2022-Q1	3.9%	4.2%	2.6%	4.3%																		
2022-Q2	4.3%	4.9%	3.5%	3.7%	3.8%																	
2022-Q3	4.2%	3.8%	4.1%	3.5%	4.6%	4.0%																
2022-Q4	4.8%	4.8%	4.1%	5.0%	3.9%	4.4%	4.5%															
2023-Q1	3.3%	2.6%	2.5%	2.5%	2.9%	2.6%	2.8%	3.6%														
2023-Q2	3.6%	3.1%	3.0%	3.1%	3.2%	3.5%	3.2%	3.4%	3.8%													
2023-Q3	4.0%	4.3%	3.5%	3.9%	3.8%	3.6%	4.1%	4.0%	3.0%	0.8%												
2023-Q4	4.2%	4.1%	3.9%	4.9%	3.8%	3.9%	4.1%	4.4%	3.2%	2.2%	0.5%											
2024-Q1	5.7%	4.8%	4.2%	4.9%	5.1%	4.7%	4.7%	4.6%	4.6%	4.6%	2.3%	2.4%										
2024-Q2	5.9%	6.1%	5.8%	6.6%	5.6%	6.0%	5.9%	5.5%	5.0%	5.3%	4.7%	7.1%	3.4%									
2024-Q3	5.9%	5.0%	5.6%	5.2%	5.1%	5.4%	5.2%	5.2%	4.7%	6.4%	2.9%	4.0%	2.9%	3.9%								
2024-Q4	5.3%	4.2%	4.9%	4.7%	5.1%	4.7%	5.2%	5.0%	4.4%	3.6%	3.7%	3.3%	3.0%	3.1%	2.4%							
2025-Q1	5.7%	5.3%	4.9%	5.4%	5.5%	5.4%	5.0%	4.7%	5.4%	4.0%	5.1%	3.0%	4.7%	3.0%	3.4%							
2025-Q2	5.2%	5.5%	5.9%	5.7%	5.6%	5.7%	5.4%	5.5%	5.3%	4.0%	3.9%	3.6%	6.4%	4.5%	3.3%	4.1%	3.7%					
2025-Q3	4.4%	4.5%	5.0%	4.3%	5.4%	5.0%	4.8%	4.8%	4.5%	4.1%	4.7%	3.2%	4.7%	3.9%	3.2%	4.1%	3.7%	4.8%				
2025-Q4	3.8%	3.9%	4.7%	3.6%	4.3%	4.4%	4.2%	4.3%	4.0%	3.5%	3.3%	2.8%	3.9%	4.7%	2.6%	3.3%	3.4%	3.4%	4.4%			
2026-Q1	2.6%	3.1%	2.4%	1.7%	3.4%	3.1%	3.4%	3.3%	2.4%	3.0%	2.5%	1.9%	2.8%	2.8%	2.5%	2.3%	2.2%	2.7%	2.4%	2.6%		
2026-Q2	2.3%	3.3%	3.9%	2.8%	2.8%	4.5%	4.0%	3.7%	3.6%	2.7%	3.3%	3.0%	3.3%	3.9%	4.1%	3.1%	3.7%	3.5%	3.6%	4.2%	4.2%	

Source: Morgan Stanley Research, Intex

Median US and European CLO 2.0 Equity NAVs

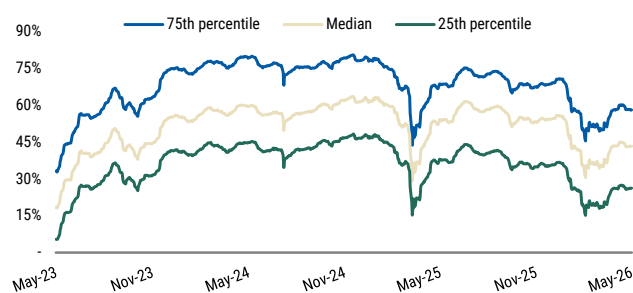
The median NAV for US BSL deals was down by 0.1% MoM at 43.3% at the end of May 2026

The median NAV for European BSL deals was up by 3.5% MoM at 44.7% at the end of May 2026

The S&P LSTA leveraged loan index increased by 0.02 points to 95.33 at the end of May 2026

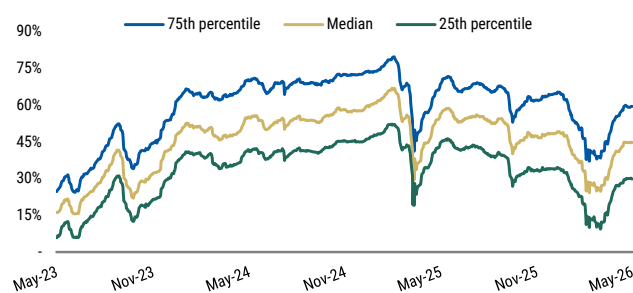
The S&P European leveraged loan index increased by 0.41 points to 96.16 at the end of May 2026

Exhibit 33: CLO 2.0 Equity NAV Percentiles



Source: Morgan Stanley Research, Intex, Markit

Exhibit 34: European CLO 2.0 Equity NAV Percentiles



Source: Morgan Stanley Research, Intex, Markit

Exhibit 35:

Median Cumulative Equity Payments & Equity NAV

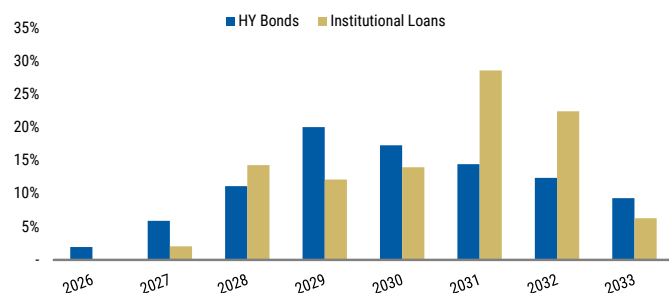
Closing Quarter	Median Cumul. US Payments	Median Cumul. EU Payments	Median US NAV for Reinv Deals	Median EU NAV for Reinv Deals
2021-Q2	76.1%	85.7%	19.8%	26.8%
2021-Q3	70.3%	84.0%	29.9%	28.1%
2021-Q4	66.6%	76.4%	23.9%	23.8%
2022-Q1	66.8%	76.0%	31.8%	30.9%
2022-Q2	65.1%	69.6%	28.0%	33.8%
2022-Q3	65.8%	83.5%	38.8%	29.0%
2022-Q4	58.5%	81.4%	43.0%	37.0%
2023-Q1	52.2%	65.3%	41.9%	35.0%
2023-Q2	46.9%	54.1%	43.7%	40.7%
2023-Q3	38.2%	49.9%	51.6%	40.9%
2023-Q4	32.6%	40.9%	49.4%	42.9%
2024-Q1	27.9%	33.6%	51.3%	48.1%
2024-Q2	25.7%	28.4%	48.2%	47.8%
2024-Q3	24.4%	27.9%	49.2%	43.9%
2024-Q4	19.4%	21.9%	52.3%	48.5%
2025-Q1	17.7%	18.3%	53.9%	51.3%
2025-Q2	12.9%	15.7%	62.8%	53.2%
2025-Q3	9.1%	9.4%	61.6%	57.0%
2025-Q4	6.5%	5.6%	69.2%	60.1%

Source: Morgan Stanley Research, Intex, Markit

CLO Collateral Fundamentals

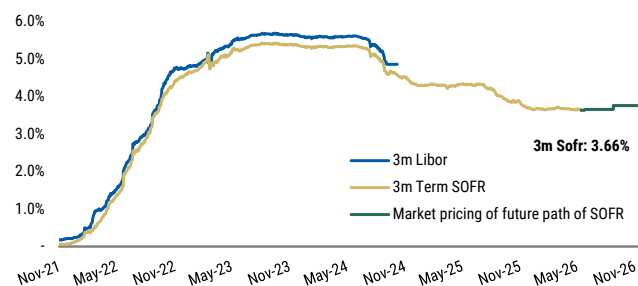
Macro Factors Affecting CLOs and CLO Collateral

Exhibit 36: US Leveraged Debt Maturity Profile



Source: Morgan Stanley Research, PitchBook | LCD

Exhibit 37: Spot and Forward 3m Libor



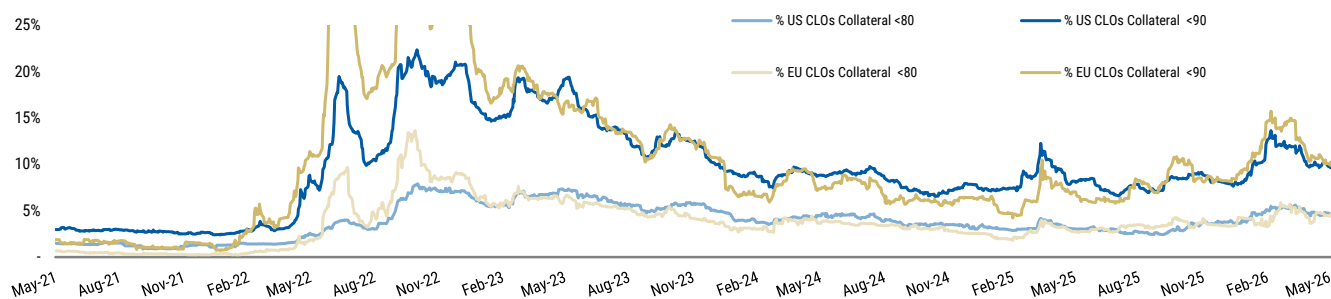
Source: Morgan Stanley Research, Bloomberg

Collateral Trading Below 90 for US and European CLOs

% of US CLO 2.0 collateral trading below 90: The proportion of US CLO 2.0 collateral trading below 90 increased by ~2bp to 10.0%, at the end of May

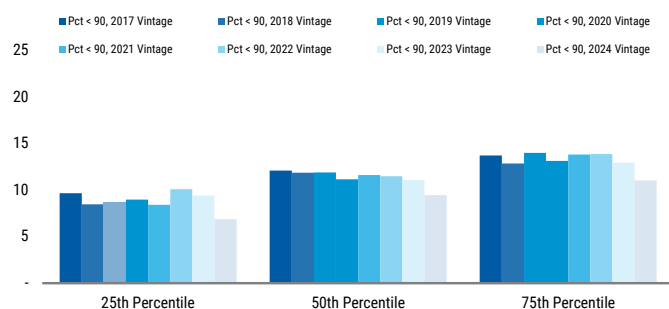
% of European CLO collateral trading below 90: The proportion of European CLO collateral trading below 90 decreased by 0.38pp, to 10.0%, at the end of May

Exhibit 38: Collateral Trading Below 90 in US & EU CLO Portfolios



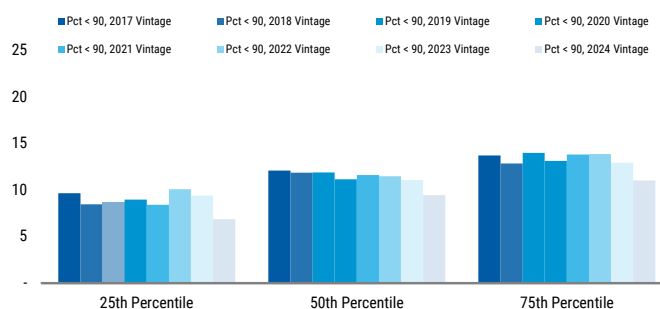
Source: Morgan Stanley Research, Intex

Exhibit 39: US Collateral Holdings Below 90 by Vintage Year



Source: Morgan Stanley Research, Intex, Markit

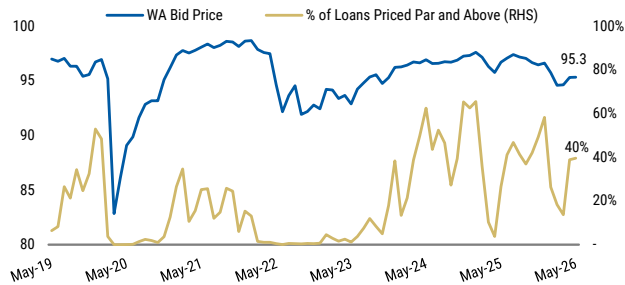
Exhibit 40: EU Collateral Holdings Below 90 by Vintage Year



Source: Morgan Stanley Research, Intex, Markit

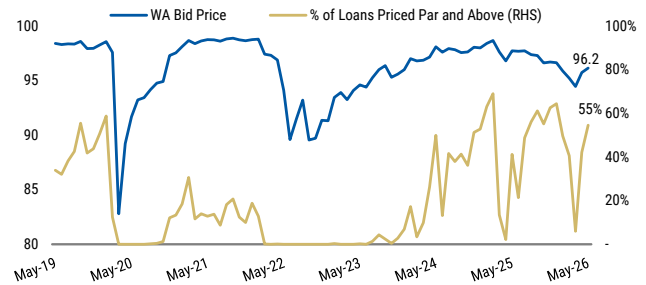
Loans Priced at or Above Par for US and Europe

Exhibit 41: US Loan Index Bid Price & % Priced at or Above Par



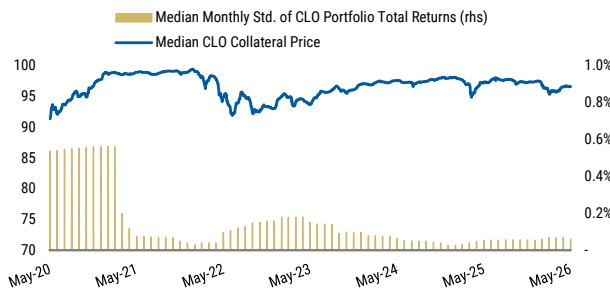
Source: Morgan Stanley Research, PitchBook | LCD

Exhibit 42: Eur. Loan Index Bid Price & % Priced at or Above Par



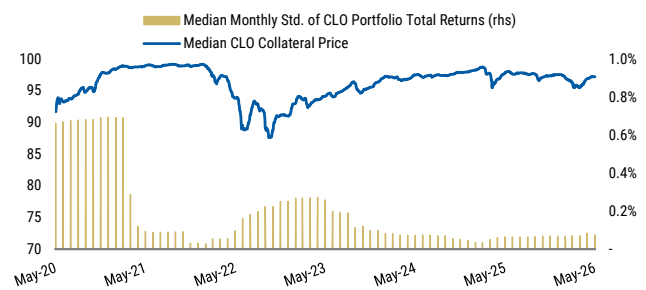
Source: Morgan Stanley Research, PitchBook | LCD

Exhibit 43: Median US CLO Port. Prices & LTM TR Volatilities



Source: Morgan Stanley Research, Intex, Markit

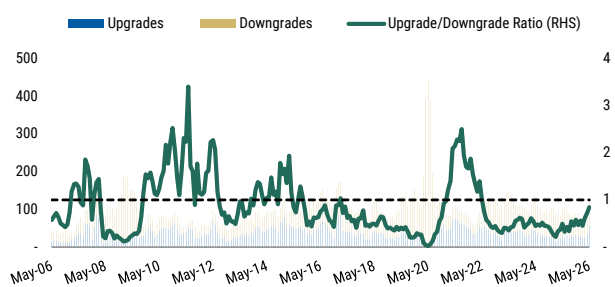
Exhibit 44: Median Eur. CLO Collat. Prices & LTM TR Volatilities



Source: Morgan Stanley Research, Intex, Markit

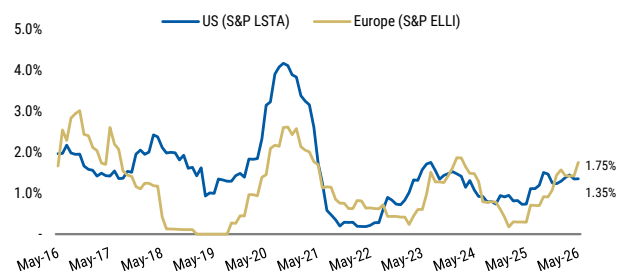
US and European Loan Repayments and Defaults

Exhibit 45: S&P LSTA Loan Index Upgrades vs. Downgrades



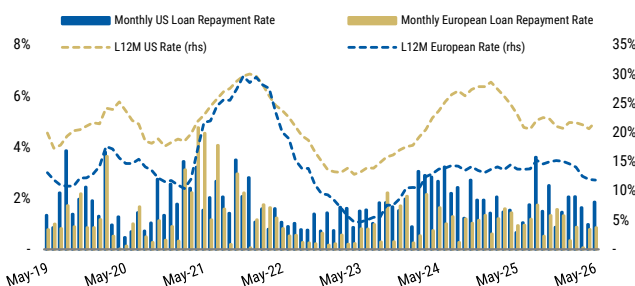
Source: Morgan Stanley Research, Bloomberg, PitchBook | LCD. Note: Rolling 3 month

Exhibit 46: Leveraged Loan Default Rates LTM (Principal Amount)



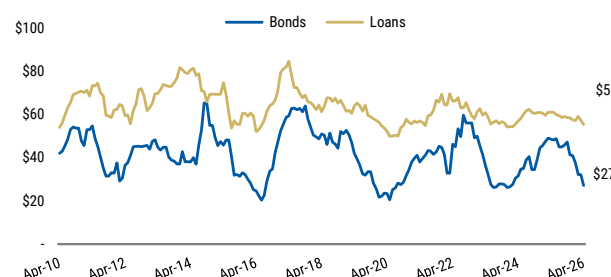
Source: Morgan Stanley Research, PitchBook | LCD

Exhibit 47: Monthly Leveraged Loan Repayment Rates



Source: Morgan Stanley Research, PitchBook | LCD

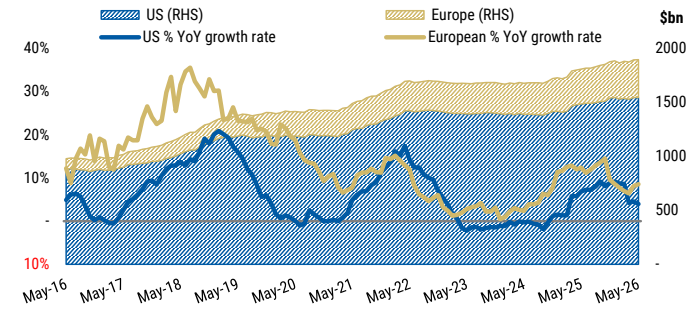
Exhibit 48: Historical US Corporate Bond and Loan Recoveries



Source: Moody's (measured by prices taken one month after default). Includes trailing 12m data. These data are lagged by one month.

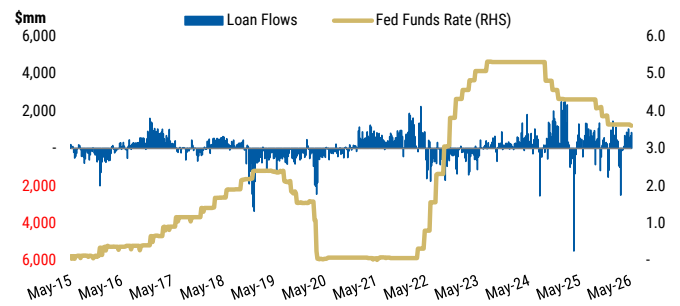
Market Movements and Technicals Affecting US Leveraged Loans

Exhibit 49: Par Amount of Outstanding Leveraged Loans



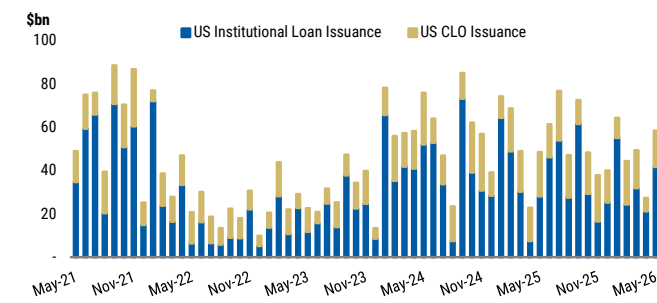
Source: Morgan Stanley Research, PitchBook | LCD

Exhibit 50: US Loan Funds Flows and Fed Funds Rate



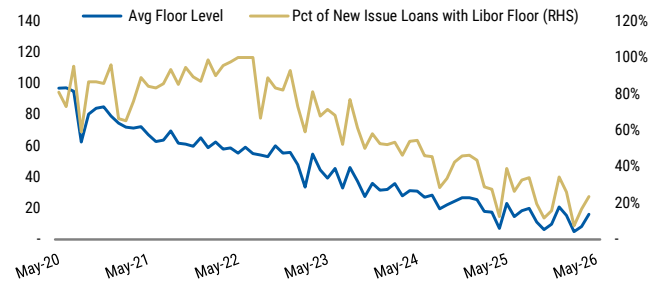
Source: Morgan Stanley Research, EPFR, Bloomberg. Note: The EPFR data and chart displayed here must not be extracted and republished (whether internally or externally). Such use will violate the terms of Morgan Stanley's contract with EPFR which only covers named users.

Exhibit 51: US Leveraged Loan Issuance and CLO Issuance



Source: Morgan Stanley Research, PitchBook | LCD

Exhibit 52: % New Issue First Lien US Leveraged Loans with Libor Floors and Level



Source: Morgan Stanley Research, PitchBook | LCD

Disclosure Section

Mortgage Backed Securities (MBS) and Collateralized Mortgage Obligations (CMO)

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(as of May 31, 2026)

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Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

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